

The Yield Protocol can even be directly used to speculate on interest rates. Several DAI derivative assets – Compound cDAI, Aave aDAI, and Chai²⁵ – represent a variable interest rate. One can imagine a seller of yDAI using one of these DAI derivative assets as collateral. The effect of this transaction is that the seller is paying the fixed rate on the yDAI while receiving the variable rate on the collateral. This is a bet that rates will increase. Likewise, purchasing yDAI (of any collateral type) is a bet that variable rates will not increase beyond the fixed rate received.

Yield is an important protocol that supplies fixed rate products to Ethereum. It can be tightly integrated with other protocols like MakerDAO and Compound to create robust interest-bearing applications for investors. Demand for fixed income components will grow as mainstream investors begin adopting DeFi with portfolios in need of these types of assets (Table 6.5).

Table 6.5 Problems That the Yield Protocol Solves

Traditional	
Finance Problem	Yield Solution
<i>Centralized control:</i> Fixed income instruments largely restricted to governments and large corporations.	Yield protocol is open to parties of any size.

(Continued)